

Northgate Talent Partners LLC

www.northgatetalent.com

May 3, 2017

Jennifer Frazier, Chief Operating Officer, Sanchez-Baker

Re: Retained Search for a Director of the Board

Dear Ms. Frazier:

This letter confirms the terms on which Northgate Talent Partners LLC will conduct a retained search for a new independent director of the board of Sanchez-Baker. We are ready to begin on May 13, 2017, and we expect the search to run about four months from that point. Where this letter is brief, it is because the point is simple. Where it is exact, it is because it binds us both.

Scope of the Engagement

The search is for one director. Our first work is not sourcing; it is agreement on what you are hiring for. We will meet with you and with the directors who will vote on the appointment, and we will produce a written position specification covering the mandate of the seat, the experience the board is short of today, the committee work the director will be asked to carry, and the standards against which candidates will be measured. That document comes back to you for approval before any candidate is approached. Boards that skip this step spend the last month of a search relitigating the first week of it.

With the specification approved, we will map the market of qualified directors, develop a long list, and approach candidates on a confidential basis. You will receive a written slate of candidates the firm is prepared to stand behind, each assessed against the specification and against our own view of fit, rather than a stack of resumes with a covering note. We will manage the interview calendar, take up references on any candidate your board intends to appoint, and stay with the search through the decision and the acceptance. Our work is not finished when the slate is delivered. It is finished when a director is seated.

Two practical notes on how we work. We do not present a candidate we have not met ourselves, and we do not pad a slate to make it look like a market. If the qualified population for this seat proves to be small, you will see it at its true size and hear plainly what the market for this profile is, rather than be handed the appearance of choice. Second, the board's own availability will govern the calendar more than anything the firm does. Slates go stale. The candidates we bring you will be in play elsewhere, and the search will need decisions at the pace we agree at kickoff.

The Search Team

James Grant, Senior Consultant, will lead the search and will be your day-to-day contact; he holds the pen on anything that reaches a candidate. Jeffrey Patterson, Research Consultant, will draft the position specification and build the market map. Jason Bell, Research Associate, will run sourcing and first contact. I will review the slate before it reaches you and I will attend the board presentation myself. If the search is not going the way this letter describes it, you will hear that from me, early, and in plain words.

Fees and Payment

Our fee for the engagement is \$66,000, fixed for the scope described above. We bill it in three equal installments: the first at the start of work, the second on delivery of the slate, and the third on the appointment or on the close of the search, whichever comes first. The fee is not contingent on an appointment. You are retaining the firm for the work, and the work is done whether or not your board elects to seat one of the candidates we bring you. Invoices are payable within thirty days of receipt. Reasonable out-of-pocket expenses, principally travel and any candidate travel we arrange at your request, are billed at cost and separately from the fee; no expense of consequence will be incurred without your approval in advance.

Off-Limits and Replacement

For twelve months following the close of the search we will not recruit the director we place, and we will not approach an executive of Sanchez-Baker on behalf of another client. If the director we place resigns or is removed for cause within twelve months of election, we will conduct one replacement search for the same seat at expenses only. A firm unwilling to write that clause is telling you something.

Term and Termination

The engagement runs from the start date set out above until the search is closed, either by an appointment or by your instruction. Either of us may end it on written notice. If you terminate, you owe the installments already invoiced together with a pro rata share of the current one for work performed to the date of notice, and nothing further. If we conclude that the search cannot be completed against the specification as approved and the board is not prepared to revise it, we will tell you so and stop, rather than continue to bill against work that will not produce a director.

Confidentiality

What we learn about your business, your board, and your succession thinking stays with the search team and is disclosed to no one else. The obligation runs the other way as well, and that is the more delicate half. The people we approach are sitting executives and sitting directors, and most of them will have told no one at their own company that they took our call. In anything that

circulates beyond the decision-makers on your side, candidates are described by their current role rather than named. We ask that your board observe the same practice, and that materials we send you are not forwarded outside the group that will vote. A leaked slate does not merely embarrass this firm. It costs the candidate something neither of us can give back.

Limitation of Liability

We will perform the search with the care and skill customary in our profession, and we take the assessments in our slate seriously. We do not warrant the future performance of any director your board appoints; that appointment is the board's decision, made on its own judgment and its own interviews as much as on our work. Our aggregate liability arising out of this engagement, on any theory, is limited to the fees actually paid to us under it, and neither of us will be liable to the other for indirect or consequential damages. Nothing in this paragraph limits liability that cannot be limited by law.

Governing Law

This letter is the entire agreement between us with respect to the search and supersedes anything discussed before it. It may be amended only in writing signed by both of us, and it is governed by the laws of the state in which our firm maintains its principal office, without regard to its conflict-of-laws rules.

If this letter reflects our understanding, please sign below and return one copy to my attention. We will begin on the date set out above, and I will introduce the team to you before the first board meeting.

Sincerely,

Kelly Chavez

Managing Director

Date: May 3, 2017

Jennifer Frazier

Chief Operating Officer, Sanchez-Baker

Date: May 3, 2017